

Key Insights & Recommendations

Loyalty Card Program Is Not Effective

Insight:

Loyalty card holders spend an average of **\$43.67 per order**, compared to **\$46.48** for non-holders. Additionally, only **2.7% of customers make repeat purchases**, indicating poor customer retention and low program effectiveness.

Recommendation:

Redesign the loyalty program by introducing tiered rewards, discounts on repeat purchases, personalized offers, and bundle incentives to encourage customer loyalty and increase retention.

Large Packs Drive Revenue Growth

Insight:

All package sizes generate the same **10% profit margin**, yet the **2.5 kg pack accounts for 52.7% of total revenue**, making it the strongest revenue driver.

Recommendation:

Promote larger package sizes through "Buy More, Save More" campaigns, bundle offers, and targeted marketing to increase average order value without reducing profitability.

Robusta Is Underperforming

Insight:

Robusta generates approximately **\$3,300 less revenue** than the next coffee type despite maintaining a comparable average order quantity

(**3.64 units**). This suggests a pricing or product-positioning issue rather than weak demand.

Recommendation:

Review Robusta's pricing strategy and market positioning. Consider promoting it as a budget-friendly option and increasing marketing efforts, particularly in the U.S. market where it trails Arabica by **\$3,477**.

Geographic Revenue Concentration Creates Risk

Insight:

The **United States contributes 79% of total revenue**, while Ireland and the UK together account for only 21%. This indicates a heavy dependence on a single market.

Recommendation:

Reduce market concentration risk by expanding marketing activities and implementing localized pricing or promotional strategies in Ireland and the UK to diversify revenue sources.

Light Roast Is the Top Performer

Insight:

Light Roast generates approximately **\$4,175 more revenue** than Dark Roast. The highest-performing product combination is **Excelsa + Light Roast**, generating **\$4,797** in revenue.

Recommendation:

Prioritize inventory planning, featured placement, and promotional campaigns for Light Roast products, especially Excelsa and Liberica variants, to maximize sales opportunities.

Overall Business Recommendations

- Redesign the loyalty program to improve customer retention and repeat purchases.
- Increase focus on promoting the 2.5 kg package to drive higher revenue.
- Reassess Robusta's pricing and positioning strategy.
- Diversify revenue streams by expanding beyond the U.S. market.
- Prioritize high-performing products, particularly Light Roast and Excelsa combinations, in inventory and marketing efforts.